LIBERTY KENYA HOLDINGS LIMITED

The Board of Directors of Liberty Kenya Holdings Limited is pleased to announce
The unaudited results of the Group for the six months ended 30 June 2015

LIBERTY

Group Statement of Financial Position

	30 June 2015 Shs'000	30 June 2014 Shs'000	31 Dec 2014 Shs'000
Capital and reserves			
Ordinary share capital	535,707	515,270	535,707
Share premium	1,490,480	1,185,969	1,490,480
Revenue and other reserves	3,810,467	3,271,635	3,770,153
Proposed dividend	267,854	515,270	-
Equity attributable to owners of parent	6,104,508	5,488,144	5,796,340
Non-controlling interest	380,692	389,250	382,313
Total equity	**6,485,200**	**5,877,394**	**6,178,653**
REPRESENTED BY:			
Assets			
Property and equipment	1,061,818	1,078,683	1,063,672
Intangible assets	62,636	43,502	37,144
Goodwill	1,254,995	1,254,995	1,254,995
Investment property	936,000	785,768	936,000
Investment in associates	-	65,264	-
Financial investments	20,877,506	18,420,247	19,098,156
Receivable arising from reinsurance	380,284	405,456	489,991
Receivable arising from direct insurance	1,219,152	613,118	707,580
Reinsurers' share of insurance liabilities	2,658,856	2,673,517	2,103,145
Deferred acquisition costs	156,780	153,077	135,416
Other receivables	445,788	535,284	450,510
Deferred income tax	101,808	68,238	108,075
Current income tax	81,402	40,915	75,352
Cash and cash equivalents	5,572,362	5,666,627	6,251,762
Total assets	**34,809,387**	**31,804,691**	**32,711,799**
Liabilities			
Insurance contract liabilities	10,416,247	9,525,421	9,720,729
Deposit administration liabilities	11,887,007	11,613,061	12,047,554
Unearned premium reserve	3,591,796	2,980,529	2,768,235
Creditors arising from reinsurance	859,679	263,174	337,443
Deferred acquisition income	-	81,997	73,554
Other liabilities	935,018	1,087,023	1,043,744
Deferred income tax	634,441	352,213	541,887
Current income tax	-	23,880	-
Total liabilities	**28,324,188**	**25,927,298**	**26,533,146**
Net assets	**6,485,200**	**5,877,394**	**6,178,653**

Group Income Statement

	30 June 2015 Shs'000	30 June 2014 Shs'000	31 Dec 2014 Shs'000
Income			
Gross earned premium revenue	4,669,406	3,898,215	8,036,914
Less: Outward reinsurance	(1,721,386)	(1,771,451)	(3,344,429)
Net insurance premium revenue	**2,948,020**	**2,126,765**	**4,692,485**
	1,175,658	1,621,487	3,605,775
Commissions earned	445,815	326,067	668,577
Investment income	649,782	1,233,956	2,858,312
Administration fees	8,002	8,418	13,764
Other income	72,059	53,046	65,122
Total income	**4,123,678**	**3,748,252**	**8,298,260**
Claims and policyholder benefits payable	(2,023,794)	(1,141,461)	(2,450,981)
Change in insurance contract liabilities	(517,051)	(525,641)	(882,325)
Amounts recoverable from reinsurers	781,774	201,340	(123,155)
Net insurance benefits and claims	**(1,759,071)**	**(1,465,762)**	**(3,456,461)**
Total expenses and commissions	**(1,854,282)**	**(1,719,766)**	**(3,505,149)**
Commissions payable	(634,312)	(485,059)	(921,303)
Other operating expenses	(1,219,970)	(1,234,707)	(2,583,846)
Result of operating activities	**510,325**	**562,724**	**1,336,650**
Earnings from associates	-	-	9,918
Profit before income tax	**510,325**	**562,724**	**1,346,568**
Income tax expense	(90,432)	(101,750)	(201,356)
Profit for the period	**419,893**	**460,974**	**1,145,213**
Attributable to :			
Owners of the parent	385,803	426,863	1,076,325
Non-controlling interest	34,090	34,111	68,888
	419,893	**460,974**	**1,145,213**
Basic and diluted earnings per share (Shs)	0.78	0.89	2.14

Abridged Group Statement of Cashflows

	30 June 2015 Shs'000	30 June 2014 Shs'000	31 Dec 2014 Shs'000
Cash generated from operations	**404,061**	**1,798,877**	**908,460**
Net interest received	886,357	1,000,141	2,063,438
Income tax paid	(126,174)	(69,032)	(262,138)
Net cash generated from operating activities	**1,164,244**	**2,729,986**	**2,709,760**
Cashflows from/(used in) investing activities	(1,779,350)	(3,508,630)	(2,675,335)
Cashflows used in financing activities	-	-	(250,833)
Currency translation differences	(64,294)	(7,712)	15,187
Net (decrease) increase in cash equivalents	**(1,843,644)**	**(3,516,342)**	**(2,910,981)**
Cash and cash equivalents at 1 January	6,251,762	6,452,983	6,452,983
Closing cash and cash equivalents	**5,572,362**	**5,666,627**	**6,251,762**

Group Statement of Comprehensive Income

	30 June 2015 Shs'000	30 June 2014 Shs'000	31 December 2014 Shs'000
Profit for the period	419,894	460,973	1,148,985
Other comprehensive income for the period	(86,802)	(26,569)	(200,764)
Items that can be reclassified into profit or loss:	(86,802)	(26,569)	(22,508)
Foreign currency	(86,802)	(26,569)	(22,508)
Items that cannot be reclassified into profit or loss:	-	-	(178,256)
Recognition of deferred income tax on revaluation	-	-	(186,256)
Gain on revaluation of land and building	-	-	8,000
Total comprehensive income for the period	333,092	434,404	948,221
Total comprehensive income attributable to:			
Owners of parent	334,713	400,293	880,158
Non-controlling interest	(1,621)	34,111	68,063
Total comprehensive income for the period	**333,092**	**434,404**	**948,221**

Abridged Group Statement of Changes in Equity

	Share Capital Shs'000	Share Premium Shs'000	Revenue and other reserves Shs'000	Proposed dividend Shs'000	Non - controlling interest Shs'000	Total Shs'000
As at 1 January 2015	**535,707**	**1,490,480**	**3,748,689**	**-**	**382,313**	**6,157,189**
Net profit for the year	-	-	385,804	-	34,090	419,894
Other comprehensive income	-	-	(56,172)	-	(35,711)	(91,883)
Dividend paid to non-controlling interests	-	-	(267,854)	267,854	-	-
As at 30 June 2015	**535,707**	**1,490,480**	**3,810,467**	**267,854**	**380,692**	**6,485,200**

FINANCIAL HIGHLIGHTS

Gross earned premiums grew by 20% over prior year as a result of increased depth in channel engagements and focus on retail business. In particular, the medical and group life lines of business were major growth contributors coupled with a strong retention of existing business.Total income grew by 10% despite a 47% reduction in investment income as a result of the significant reduction in the mark-to-market values of fixed income bonds and the prices of NSE-listed securities due to an upward shift in the yield curve and decline in the NSE index respectively. There was an increase in net insurance benefits and claims by 20% over prior year due to an increase in the claims experience in several lines of business.

Total expenses and commissions were contained to a growth of 8% over prior year as the businesses continued to implement cost containment initiatives and adequate provisions were made in line with changes in legislation impacting on the businesses. Profit for the period declined by 9% compared with prior year as a result of the losses from mark-to-market valuations in the period. Total assets increased by 6% over the December 2014 position with increased assets from improved business performance resulting in improved capital adequacy above regulatory requirements.

Dividends

The Board of Directors do not recommend payment of an interim dividend to shareholders.

Looking ahead

The Group's core business is expected to show encouraging revenue performance supported by prudent management of benefits and costs. Efforts to contain the impact of the declining value of the shilling against the dollar, rising inflation and expected challenging market conditions for the investment portfolios will continue to impact on business performance. The Group will continue to leverage on its strong brands, access to pan-African expertise and capabilities to deliver sustainable financial performance.

The above financial statements were approved by the Board of Directors on 27 August 2015 and signed on its behalf by:

S Mboya	**M L du Toit**	**G R May**	**C Kioni**
Chairman	**Managing Director**	**Director**	**Company Secretary**

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